

CHAPTER 2.

An Act to provide for raising Money for the present War in South Africa. [27th March 1900.]

Most Gracious Sovereign,

WE, Your Majesty's most dutiful and loyal subjects, the Commons of the United Kingdom of Great Britain and Ireland in Parliament assembled, towards raising the necessary supplies granted to Your Majesty, have resolved that sums not exceeding thirty-five million pounds be raised in manner provided by this Act; and do therefore most humbly beseech Your Majesty that it may be enacted, and be it enacted by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:

Borrowing •
for purpose
of supply
for years
1899-1900 and
1900-1901.

1. Any money required for raising the supply granted to Her Majesty for the service of the years ending the thirty-first day of March nineteen hundred and the thirty-first day of March nineteen hundred and one, may be raised up to an amount not exceeding thirty-five million pounds, by either or both of the following methods, namely, by means of a Special War Loan, or by means of the issue of Treasury Bills.

Raising
Special War
Loan.

2.—(1.) For the purpose of raising the Special War Loan, the Treasury may by warrant addressed to the Bank of England direct the creation of a new capital stock to be called "War Stock," and the issue of bonds to be called "War Bonds."

(2.) War Stock and War Bonds shall bear interest at the rate of two pounds fifteen shillings per centum per annum.

(3.) War Stock and War Bonds shall be interchangeable, subject to, and in accordance with, regulations made under this Act.

(4.) The creation of War Stock shall date from the sixth day of April nineteen hundred, and War Stock and War Bonds shall not be redeemable until the fifth day of April nineteen hundred and ten, but on that date shall be redeemed at the rate of one hundred pounds sterling for every one hundred pounds of the stock or bond, together with the payment of all arrears of interest.

(5.) The sums raised by means of War Stock or War Bonds shall be paid into the Exchequer.

Charge on
Consolidated
Fund.

3. There shall be charged on the Consolidated Fund of the United Kingdom or the growing produce thereof—

(i) the principal and interest of War Stock and War Bonds; and

(ii) any sums required for defraying any expenses incurred in connexion with the raising of the Special War Loan,

but the principal and interest and other sums so charged shall not be payable as part of the permanent annual charge for the National Debt.

4.—(1.) The interest on War Stock and War Bonds shall be payable by equal quarterly dividends on the fifth day of January, the fifth day of April, the fifth day of July, and the fifth day of October in every year, and as from the sixth day of April nineteen hundred full quarterly dividends shall be payable on any War Stock or War Bonds issued, and any scrip certificates issued in respect thereof. Supplemental provisions as to War Stock and War Bonds.

(2.) War Stock shall be transferable in the books of the Bank of England and the Bank of Ireland in like manner as other stock transferable under the National Debt Act, 1870, and shall be subject to the provisions of that Act and any enactment amending that Act, so far as is consistent with the tenor of this Act. 33 & 34 Vict. c. 71.

(3.) Sections eight, nine, ten, and eleven of the Forgery Act, 1861 (which relate to the forgery of and other frauds relating to Exchequer Bills), shall apply to War Bonds and shall have effect as if "Exchequer Bill" in those sections included "War Bond." 24 & 25 Vict. c. 98.

(4.) For the purpose of calculating the annual sums payable to the Bank of England and the Bank of Ireland for the management of, or expenses connected with, the National Debt, the Special War Loan shall be considered as part of the National Debt inscribed in the books of the Bank of England and the Bank of Ireland.

(5.) War Stock or War Bonds may be issued at such times, in such amounts, and subject to such conditions as to payments of deposits and instalments, and the issue of scrip certificates carrying dividends, and otherwise, as the Treasury direct, and any directions given by the Treasury before the passing of this Act with respect to those matters are hereby confirmed.

(6.) The Treasury may make regulations with respect to—

- (a) the limitation of the sums for which War Bonds are issued to sums of even amount, and to sums of not less than one hundred pounds; and
- (b) the form and authentication of War Bonds, and the authority under which they may be issued; and
- (c) the exchange of War Stock for War Bonds or War Bonds for War Stock, and the cancelling of any War Bonds or War Stock exchanged, and the fees (if any) to be charged on any such exchange.

(7.) Any fees received under this Act shall be paid into the Exchequer.

5. Any amount raised under this Act which is not required for the purposes to which money raised thereunder is applicable shall be paid to the National Debt Commissioners, and applied by them in the same manner as the New Sinking Fund may be applied. Application of moneys not required for purposes of Act.

6. Sections three and five of the Sinking Fund Act, 1875, (which relate to the application of the Old and New Sinking Funds), shall apply to War Bonds and War Stock in like manner as they apply to annuities charged on the Consolidated Fund. Application of 38 & 39 Vict. c. 45. s. 3.

7. This Act may be cited as the War Loan Act, 1900.

Short title.